Tanker Shipping

Bi-Weekly Industry Report

August 25, 2026

- **Late August Shift Leads to Surging Spot VLCC Rates –** The East of Suez risk premium identified in late July remains embedded in the VLCC market. In the Arabian Gulf, **steady enquiry and business concluded privately** have progressively reduced the tonnage list. Successive fixtures at higher levels strengthened owners' position while **limited prompt availability** and a stronger Atlantic market have led charterers to attract additional ballasters from the East. Fixtures have gradually reduced the available list and lifted owners' confidence. In the **US Gulf and Brazil**, continued enquiry and coverage have **tightened availability** despite some prompt vessels initially appearing. Sentiment has firmed in both regions, although the Arabian Gulf retains the stronger geopolitical premium. The final week of August presents a different picture from the reopening discussions that dominated June and July. **Reports of increased tanker passage** through Hormuz have influenced sentiment, with U.S. officials claimed that 40 tankers transited during the night of 21 August using the U.S.-backed route along Oman's coast. Yet, **more evidence is required** before the increase can be treated as a sustained recovery in tanker circulation. Iran has separately granted permission for several Iraqi oil tankers to pass through Hormuz following requests from Baghdad which is more of a selective access for Iraqi movements rather than a general reopening. The earlier 60-day framework has not produced a lasting agreement, while passage procedures and any potential tolls or service charges remain unresolved.

- **Debate Over AG Oil Flows Shapes Oil Pirce Outlook** – Following the deceleration of geopolitical hostilities between the United States and Iran, global oil market analysis has transitioned from speculative risk premiums to actual volume metrics, specifically tracking the volume of crude exiting the Persian Gulf. **Quantifying these flows remains challenging** due to the proliferation of "dark transit" practices adopted by maritime vessels to evade regional shipping threats. Concurrently, severe constraints in downstream processing infrastructure and a shortage of specific crude blends have driven global refining margins and refined product prices to unprecedented structural highs. Ultimately, because end-user economic activity depends heavily on these finished fuels**, sustained price premiums** continue to exacerbate global **inflationary pressures** and dampen macroeconomic growth

- **Our Long-term View –** The tanker market has been recovering from a long period of staggered rates as the growth in new vessel supply shrunk while oil demand remained elevated in line with the global economy. The recent rapid increase in freight rates has led to significant new vessel ordering, with the orderbook now standing at well above average levels, and although in the near term such a supply/demand misbalance is small, we expect a meaningful negative balance to develop longer term leading to an industry downcycle.

Short-term Indicators

Momentum:	Positive
Sentiment:	Positive
Fundamentals:	Positive

Breakwave Tanker Futures Index:	**10433**
30D: 84.2%	↑
YTD: 610.2%	↑
YOY: 640.4%	↑
VLCC Middle East-Asia Spot Rates:	**118.61**
30D: 51.7%	↑
YTD: 733.2%	↑
YOY: 706.5%	↑

Reuters:	BWET.K
Bloomberg:	BWET US
Exchange:	NYSE

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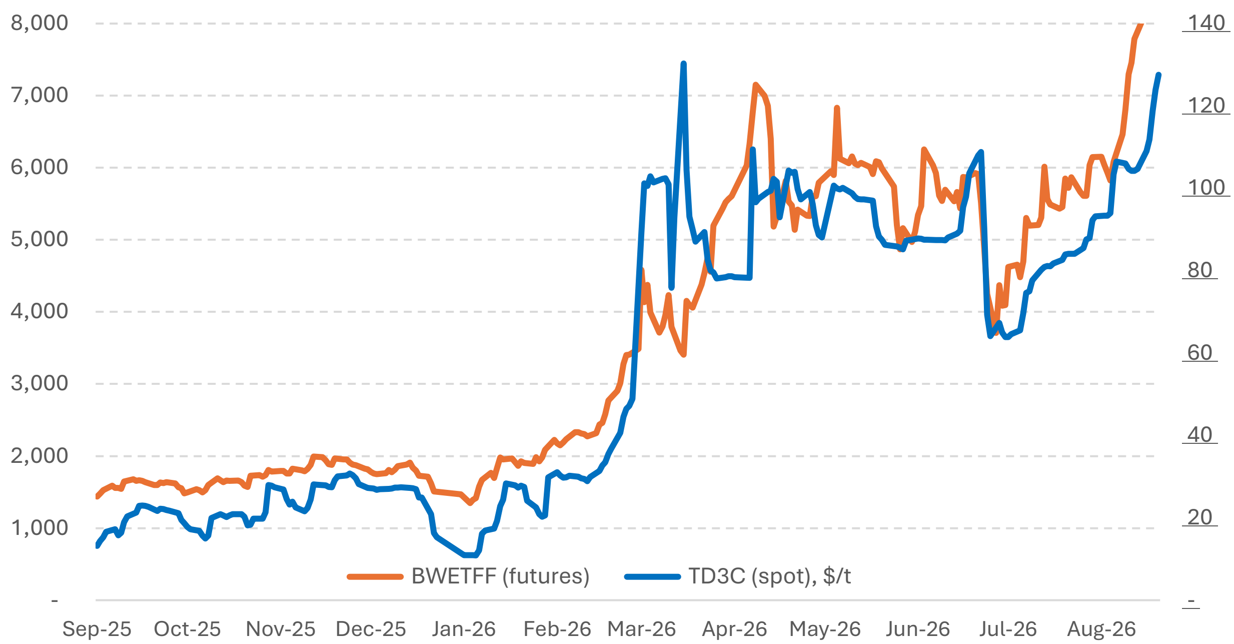
VLCC Spot Index (TD3C) vs Breakwave Tanker Futures Index (BWETFF)



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	106,499 kbpd	1.0%
Oil Supply, OPEC	19,440 kbpd	-30.9%
Oil Supply, non-OPEC	79,471 kbpd	8.4%
OECD Total Crude Oil Stocks	1023.6 MMbls	-3.7%
US Crude Oil Exports	71.5 MMbls	3.7%
China Oil Imports	862.5 MMbls	-2.1%
Global Crude Oil On Water	1202.0 MMbls	5.1%

Supply

Tanker Fleet	733.8 mdwt	4.1%

Freight Rates

VLCC Middle East-Asia, USD/ton	70.14	456.3%
Suezmax West Africa-Europe, USD/ton	37.89	130.3%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors